Practice workbook · Provision for irrecoverable debts account

Preparing the provision account for a year, showing the movement to the income statement and the new balance.

7 question parts: 1 worked-example retry and 6 further practice parts.
Name: _____ Class: _____ Date: _____

Practise one question type at a time. Attempt the part inside the red boundary; the rest of the question and any figures are kept for context. Write your working in the answer space.

The first question is a retry of the website worked example, without its solution. Check your answers online with 'Check my answer', or ask your teacher for the answer booklet.

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Type ID: ACC-ADJ-11

1. Question 18 · part c.iii · 4 marks

2023 JUN · Paper 01

Worked-example retry · Attempt part c.iii only.

18 (a) Explain **one** difference between an irrecoverable debt and a provision for irrecoverable debts.

(2)

Xi provided the following information at 1 May 2022

Account	$
Trade receivables	18 600
Provision for irrecoverable debts	744

(b) Calculate the rate of the provision for irrecoverable debts.

(1)

On 30 April 2023 trade receivables were $21 500

An irrecoverable debt of $750 was to be written off.

(c) Calculate at 30 April 2023:

(i) trade receivables

(1)

(ii) provision for irrecoverable debts.

(1)

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1. Question 18 · part c.iii · 4 marks

2023 JUN · Paper 01

Worked-example retry · Attempt part c.iii only.

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(iii) Prepare the provision for irrecoverable debts account for the year ended 30 April 2023. Balance the account on this date and bring the balance down on 1 May 2023.

(4)

Provision for Irrecoverable Debts Account

Date	Details	$	Date	Details	$

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(d) Identify, indicating with a tick (✓), where the balance of each account would be shown in a statement of financial position.

(2)

Account	Non-current assets	Current assets	Non-current liabilities	Current liabilities
Provision for depreciation				
Provision for irrecoverable debts				

1. Question 18 · part c.iii · 4 marks · Working and answer

Working and answer

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2. Question 13 · part b · 4 marks

2019 JUN · Paper 01

Further practice · Attempt part b only.

13 Neha provided the following information for the year ended 31 March 2019.

	1 April 2018 $	31 March 2019 $
Trade receivables	12 500	15 550

Neha maintains a provision for irrecoverable debts at 10% of trade receivables.

At 31 March 2019 irrecoverable debts of $550 were to be written off.

(a) Calculate the provision for irrecoverable debts at 31 March 2019.

(1)

(b) Prepare the provision for irrecoverable debts account for the year ended 31 March 2019. Balance the account on that date and bring the balance down on 1 April 2019.

(4)

Provision for Irrecoverable Debts Account

Date	Details	$	Date	Details	$

(Total for Question 13 = 5 marks)

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2. Question 13 · part b · 4 marks · Working and answer

Working and answer

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3. Question 13 · part b · 3 marks

2020 JAN · Paper 01

Further practice · Attempt part b only.

13 Huang maintains a provision for irrecoverable debts at 4% of trade receivables. The balance of the provision at 1 November 2018 was $965

At 31 October 2019 the balance of Huang's trade receivables ledger control account was $23 620 of which $170 was irrecoverable.

(a) Calculate the balance on the provision for irrecoverable debts account at 31 October 2019.

(2)

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(b) Prepare the provision for irrecoverable debts account for the year ended 31 October 2019 showing the transfer to the income statement. Balance the account at this date and bring the balance down at 1 November 2019.

(3)

Provision for Irrecoverable Debts Account

Date	Details	$	Date	Details	$

(Total for Question 13 = 5 marks)

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3. Question 13 · part b · 3 marks · Working and answer

Working and answer

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4. Question 17 · part d · 4 marks

2020 NOV · Paper 01

Further practice · Attempt part d only.

17 (a) Complete the table below, indicating with a tick (✓) which account will be debited and which account will be credited when writing off an irrecoverable debt.

(2)

Account	Debit	Credit
Trade receivables control		
Irrecoverable debts		

(b) State **two** accounting concepts that apply when writing off an irrecoverable debt.

(2)

1 .....

2 .....

Nyan maintains a provision for irrecoverable debts of 5% of trade receivables.

On 1 March 2019 the balance of the provision for irrecoverable debts account was $1 845

On 29 February 2020 trade receivables were $42 520. This included $380 that Nyan considered to be irrecoverable.

(c) Calculate the balance of the provision for irrecoverable debts at 29 February 2020.

(2)

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4. Question 17 · part d · 4 marks

2020 NOV · Paper 01

Further practice · Attempt part d only.

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(d) Prepare the provision for irrecoverable debts account for the year ended 29 February 2020. Balance the account at this date and bring down the balance on 1 March 2020.

(4)

Provision for Irrecoverable Debts Account

Date	Details	$	Date	Details	$

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(e) Evaluate the reasons why it is necessary for a business to create a provision for irrecoverable debts.

(5)

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(Total for Question 17 = 15 marks)

4. Question 17 · part d · 4 marks · Working and answer

Working and answer

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5. Question 13 · part whole · 5 marks

2022 JUN · Paper 01 (regional R)

Further practice · Attempt part whole only.

13 A trader maintains a provision for irrecoverable debts of 5% of trade receivables.

On 1 April 2021 the balance of the provision for irrecoverable debts account was $950

On 31 March 2022 trade receivables were $24 200, including an irrecoverable debt of $460 that was to be written off.

Prepare the provision for irrecoverable debts account for the year ended 31 March 2022. Balance the account on this date and bring the balance down on 1 April 2022.

Provision for Irrecoverable Debts Account

Date	Details	$	Date	Details	$

(Total for Question 13 = 5 marks)

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5. Question 13 · part whole · 5 marks · Working and answer

Working and answer

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6. Question 16 · part b · 3 marks

2023 NOV · Paper 01

Further practice · Attempt part b only.

16 Vijul provided the following information for the year ended 31 March 2023.

	$
Trade receivables ledger control account balance at 1 April 2022	19 900
Trade receivables ledger control account balance at 31 March 2023	**To be calculated**
Cash sales	1 444
Credit sales	198 301
Customer cheque dishonoured	210
Contra/set off to trade payables ledger	1 325
Discount allowed	1 274
Discount received	1 306
Irrecoverable debts	350
Receipts from credit customers	196 612
Returns inwards	570
Returns outwards	682

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6. Question 16 · part b · 3 marks

2023 NOV · Paper 01

Further practice · Attempt part b only.

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(a) Prepare the trade receivables ledger control account for the year ended 31 March 2023.
Balance the account on this date and bring the balance down on 1 April 2023.

(10)

Trade Receivables Ledger Control Account

Date	Details	$	Date	Details	$

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Vijul maintains a provision for irrecoverable debts at 5% of trade receivables.

(b) Prepare the provision for irrecoverable debts account for the year ended 31 March 2023 showing the transfer to the income statement.

(3)

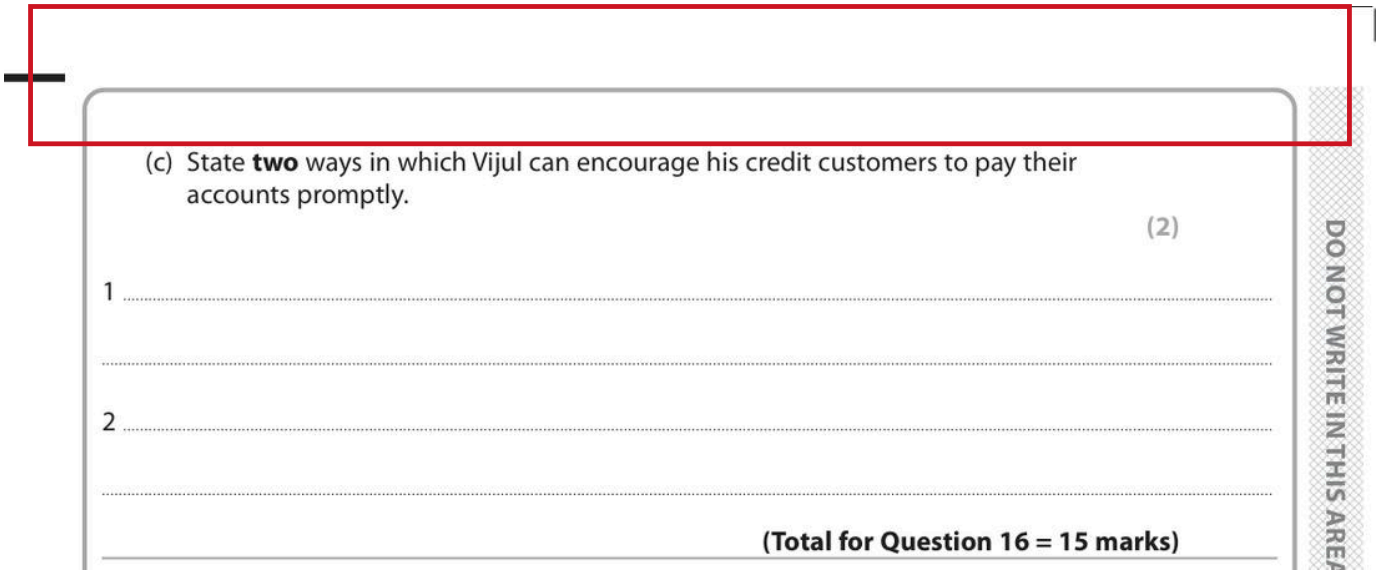
Provision for Irrecoverable Debts Account

Date	Details	$	Date	Details	$

6. Question 16 · part b · 3 marks

2023 NOV · Paper 01

Further practice · Attempt part b only.



(c) State **two** ways in which Vijul can encourage his credit customers to pay their accounts promptly.

(2)

1 .....

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2 .....

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(Total for Question 16 = 15 marks)

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Working and answer

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7. Question 18 · part c · 3 marks

2025 JUN · Paper 01 (regional R)

Further practice · Attempt part c only.

18 (a) State the accounting concept that applies when creating a provision for irrecoverable debts.

(1)

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Asif has been experiencing difficulties in getting his trade receivables to pay their accounts on time.

(b) Explain **two** ways Asif could encourage his trade receivables to pay on time.

(4)

1 .....

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2 .....

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Asif maintains a provision for irrecoverable debts of 2% of trade receivables. On 1 January 2024, the trade receivables balance was $24 000 and on 31 December 2024, it was $28 000

(c) Prepare the provision for irrecoverable debts account for the year ended 31 December 2024. Balance the account at that date and bring the balance down on 1 January 2025.

(3)

Provision for Irrecoverable Debts Account

Date	Details	$	Date	Details	$

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7. Question 18 · part c · 3 marks

2025 JUN · Paper 01 (regional R)

Further practice · Attempt part c only.

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(d) Explain the effect on the profit for the year ended 31 December 2024 if Asif's trade receivables had decreased and his provision for irrecoverable debts was maintained at 2% of trade receivables.

(2)

Asif is considering selling goods for cash only, with all customers being required to pay for their goods immediately.

(e) Advise Asif whether he should proceed with this proposal.

(5)

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7. Question 18 · part c · 3 marks · Working and answer

Working and answer

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